

## **Let's swap!**

Money can take various forms, but the forms all have certain things in common. The first and most obvious is that we can buy things with it. It is what economists call a “medium of exchange.” If someone is offering something that we want or need, we can offer them something we have in exchange. For example, a friend may have tickets to a baseball game that she doesn't want, and I offer to swap them for an extra set of headphones I have. Alternatively, I could sell the headphones to someone else, and use the money to buy the tickets from her. The money I am paid for the headphones is more useful to me, because I can use it to buy all kinds of things, and from many different people who may not want headphones.

**MONEY PLAYS THE LARGEST PART IN  
DETERMINING THE COURSE OF HISTORY.**

**THE COMMUNIST MANIFESTO**

## **Putting a price on it**

The question remains about how much the tickets, or the headphones, are worth. It's difficult to see if an exchange of two very different things is fair, unless we have a means of measuring the worth of the two items. This is another function of money: it is a way of putting a price on things, it works as what is known as a “unit of account.” Money is a system of units, in much the same way that currencies like dollars, pounds, euros, or yen are. We can use these units to put a price on things and this allows us to compare their worth.